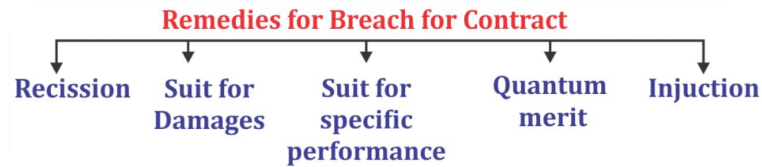


CHAPTER – 12

REMEDIES FOR BREACH OF CONTRACT



The remedies available are being discussed below in detail:

Rescission of Contract

When a party to a contract has breached the contract, the other party may treat the contract as rescinded and he is absolved from all his obligations under the contract. When a party treats the contract as rescinded, he makes himself liable to restore any benefits he has received under the contract to the party from whom such benefits were received.

Illustration: Mr. Kashish contracts to supply 1000 bags of chips to Mr. Aditya for Rs. 10,000 on 11th September, if Mr. Kashish fails to supply the goods on

appointed day, Aditya need not pay the price. Mr. Aditya can file the suit to rescind the contract.

Rescission of Contract by Court:

Court can rescind the contract in the following situation:

- Contract is voidable.
- Contract is unlawful.

Suit for Damages

Section 73 and 74 contain rules regarding the remedy of damages which is available on the breach of a contract. Section 73 incorporates the rule regarding damages which was laid in *Hadley v. Baxendale*.

Case law: Hadley vs Baxendale

Facts in brief– Plaintiffs operated a mill, and a component of their steam engine broke causing them to shut down the mill. Plaintiffs then contracted with Defendants, common carriers, to take the component to W. Joyce & Co. to have a new part created. When delivery was delayed due to Defendants' neglect, causing Plaintiffs' mill to remain closed longer than expected, Plaintiffs sued to recover damages.

Held: The damages to which a nonbreaching party is entitled are those arising naturally from the breach itself or those that are in the reasonable contemplation of the parties at the time of contracting.

KINDS OF DAMAGES

(a) Ordinary damages: These are the damages which are payable for the loss arising naturally and directly as result of breach of contract. It is also known as proximate damage or natural damage.

(b) Special damages: These are damages which are payable for loss arising due to some special circumstances. It can be recovered only if special circumstances which result in special

loss in case of breach of contract and party have notice of such damage.

Illustration: Arun sends sample of his products for exhibition to an agent of a railway company for carriage to Goa for an exhibition. The consignment note stated: "Must be at Goa, Monday Certain." Due to negligence of the company, the goods reached only after the exhibition was over. The company was liable for the loss caused by late arrival of the products because the

company's agent was aware of the special circumstances.

(c) Exemplary or Punitive damages: These damages are allowed not to compensate party but as mean of punishment to defaulting party. The court may award these damages in the case of Breach of contract causing mental agony, Wrongful dishonor of cheque, etc.

(d) Nominal damages: Where party suffers no loss, the court may allow nominal damages simply to establish that party has proved his case and won. Nominal damage is very small in amount.

Measure of Damages

Once it has been established that a certain consequence of the breach of contract is proximate, the next question which arises is regarding the Measure of Damages for the same.

Duty to mitigate loss:

The person claiming compensation has a duty to take reasonable steps to mitigate the loss consequent on the breach and cannot claim any damages arising from his own neglect. Thus, if the services of a salesman in the garment trade are terminated, he should make efforts to procure an alternative job.

Liquidated damages and penalty:

Party may specify amount at the time of entering into contract. The amount so specified may be (a) liquidated damage, or (b) penalty.

If specified sum represent, fair and genuine pre-estimate damages likely to result due to breach, it is called liquidated damage.

But if specified sum is disproportionate to the damages, it is called as penalty.

As regard the payment of liquidated damages and penalty court can't increase the quantum of damages beyond the amount specified in the contract

Illustration: A gives B, a bond for the repayment of Rs.1,000 with interest at 12 per cent, at the end of six months, with a stipulation that, in case of default, the interest shall be payable at the rate of 75 per cent, from the date of default. This is a stipulation by way of

penalty, and B is only entitled to recover from A such compensation as the Court considers reasonable.

Suit upon Quantum Meruit

The expression "Quantum Meruit" literally means "as much as earned" or reasonable remuneration. The general rule is that where a party to a contract has not fully performed what the contract demands as a condition of payment, he cannot sue for payment for that which he has done. The contract has to be indivisible and the payment can be demanded only on the completion of the contract. But where one party who has performed part of his contract is prevented by the other from completing it, he may sue on a quantum meruit, for the value of what he has done.

Suit for Specific Performance

It means demanding an order from court that promise agreed in contract shall be carried out.

Cases in Which Specific Performance is Allowed:

- i. Where actual damages arising from breach is not measurable.
- ii. Where monetary compensation is not adequate remedy

Cases in which specific performance is not allowed:

- i. When damages are an adequate remedy.
- ii. Where performance of contract requires numbers of minute details and therefore not possible for court to supervise.
- iii. Where contract is of personal in nature.
- iv. Where contract made by company beyond its power. (ultra-vires)
- v. Where one party to contract is minor
- vi. Where contract is inequitable to either party.

Suit for Injunction

An injunction, is an order of a Court restraining a person from doing a particular act. It is a mode of securing the specific performance of a negative term of the contract, (i.e., where he is doing something which he promises not to do), the Court may in its discretion issue an order to the defendant restraining him from doing what he promised not to do.